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## Required Quiz 7.1: Week 7 Quiz

Due May 10 at 11:59pm

Points 20

Questions 20

Available Apr 27 at 12am - May 10 at 11:59pm

Time Limit 30 Minutes

### Instructions



#### Learning Outcome Addressed

- Analyse the convolutions associated with management of short-term and long-term funds in the corporate capital structure.

It is now time to assess your understanding of the concepts covered so far in this week.

#### Quiz Instructions

- The time limit for this quiz is 30 mins. Kindly complete and submit this quiz within this time.
- You have only one attempt to answer the quiz.
- The quiz must be attempted by **Sunday, May 10, 2026, by 11:59 PM IST.**
- The correct answers will be displayed after quiz submissions deadline.

**Note:** This is a graded quiz and counts towards course completion.

This quiz was locked May 10 at 11:59pm.

### Attempt History

|        | Attempt   | Time      | Score        |
|--------|-----------|-----------|--------------|
| LATEST | Attempt 1 | 8 minutes | 20 out of 20 |

Score for this quiz: 20 out of 20  
Submitted May 2 at 10:30pm  
This attempt took 8 minutes.

Correct!

Question 11 / 1 pts

Capital budgeting is important because it:

☒ Affects long-term profitability

☐ Involves small investments

☐ Is reversible

☐ Has no risk

That's correct!

Correct!

Question 21 / 1 pts

Which technique is considered most reliable?

☐ ARR

☐ Payback Period

☒ NPV

☐ Sales method

That's correct!

Question 31 / 1 pts

If IRR is greater than cost of capital, project is:

☐ Rejected

☐ Ignored

☐ Delayed

☒ Accepted

Correct! →

That's correct!

**Question 4** 1 / 1 pts

Accounting Rate of Return (ARR) is based on:

☐ Sales

☒ Accounting profit

☐ Cash flows

☐ Assets

Correct! →

That's correct!

**Question 5** 1 / 1 pts

Which is NOT a capital budgeting decision?

☒ Payment of wages

☐ Expansion project

☐ Replacement of equipment

☐ Purchase of machinery

Correct! →

That's correct!

**Question 6** 1 / 1 pts

Capital budgeting decisions are:

☐ Short-term

☐ Temporary

☐ Daily

☒ Long-term

Correct! →

That's correct!

**Question 7** 1 / 1 pts

Depreciation is added back in CFAT because:

☒ It is a non-cash expense

☐ It is income

☐ It reduces tax

☐ It increases cost

Correct! →

That's correct!

**Question 8** 1 / 1 pts

Shorter payback period is:

☒ More desirable

Correct! →

More questions

- ☐ Less desirable
- ☐ Risky
- ☐ No effect

That's correct!

#### Question 9

1 / 1 pts

ARR formula is:

Correct!

- ☒ Average Profit / Investment
- ☐ Revenue / Expense
- ☐ Profit / Sales
- ☐ Cash / Cost

That's correct!

#### Question 10

1 / 1 pts

Tax is calculated on:

Correct!

- ☐ Depreciation
- ☒ Profit before tax
- ☐ Cash flow
- ☐ Sales

That's correct!

#### Question 11

1 / 1 pts

Discounting is used to:

Correct!

- ☒ Find present value
- ☐ Find future value
- ☐ Reduce cost
- ☐ Increase profit

That's correct!

#### Question 12

1 / 1 pts

Salvage value is:

Correct!

- ☐ Purchase price
- ☐ Profit
- ☐ Tax
- ☒ Residual value at end of project

That's correct!

#### Question 13

1 / 1 pts

Net Present Value (NPV) considers:

Correct!

- ☒ Time value of money
- ☐ Sales
- ☐ Expenses
- ☐ Profit only

That's correct!

#### Question 14

1 / 1 pts

Capital budgeting decisions involve:

- ☐ Routine expenses
- ☐ Salary payments
- ☐ Inventory purchase
- ☒ Investment in fixed assets

Correct!

That's correct!

#### Question 15

1 / 1 pts

CFAT includes:

- ☐ Expenses only
- ☐ Sales only
- ☒ Profit after tax + depreciation
- ☐ Only profit

Correct!

That's correct!

#### Question 16

1 / 1 pts

Profitability Index (PI) is:

- ☒ PV of inflows / PV of outflows
- ☐ Cost / Profit
- ☐ Profit / Cost
- ☐ Sales / Investment

Correct!

That's correct!

#### Question 17

1 / 1 pts

Initial investment includes:

- ☐ Only machinery cost
- ☒ Total project cost
- ☐ Sales
- ☐ Profit

Correct!

That's correct!

#### Question 18

1 / 1 pts

Capital budgeting refers to:

- ☐ Short-term decisions
- ☒ Long-term investment decisions
- ☐ Daily operations
- ☐ Cost control

That's correct!

#### Question 19

1 / 1 pts

The main objective of capital budgeting is:

- ☐ Cost reduction
- ☒ Wealth maximization
- ☐ Profit maximization
- ☐ Sales increase

That's correct!

#### Question 20

1 / 1 pts

Payback Period method measures:

- ☐ Rate of return
- ☐ Risk
- ☐ Profitability
- ☒ Time to recover investment

That's correct!

Quiz Score: 20 out of 20

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